

Trading Companies, Energy: Earnings Outlook (Apr-Jun)

Earnings progress unlikely to be viewed as a share-price driver; focus on whether trading companies announce new/additional share buybacks; expect a share buyback from INPEX

Trading company sector

1Q FY2026 earnings progress: We expect that 1Q FY2026 earnings will be at least 25% of full-year net profit guidance at most trading companies. We believe that higher resource prices and logistics and trade-related profits associated with the Middle East conflict are pushing up profits. Average April-June 2026 resource prices were \$97.0/bbl for Brent crude (\$78.4/bbl in January-March 2026, \$66.7/bbl in April-June 2025); \$13,355/t or \$6.05/lb for LME copper (\$12,824/t or \$5.82/lb in January-March 2026, \$9,508/t or \$4.31/lb in April-June 2025); and \$238.8/t for coking coal (\$226.5/t in January-March 2026, \$184.9/t in April-June 2025), so the QoQ and YoY rises were particularly large. However, because many resource businesses, mainly energy projects, are reflected in earnings after a three-month lag, it is important to note that the 1Q FY2026 results of trading companies reflect the January-March 2026 results of resource businesses. We expect each company's progress toward full-year guidance to be 23-30%. We think progress will be more than 25% at the six companies excluding Sojitz, which has a seasonally low progress rate in 1Q. In descending order of progress, we forecast 30% for **Mitsui & Co.**, 29% for **Marubeni Corporation**, 29% for **Mitsubishi Corporation**, 27% for **Itochu Corporation**, 27% for **Toyota Tsusho**, 26% for **Sumitomo Corporation**, and 22% for **Sojitz**. We do not expect any trading company to announce a revision of its full-year FY2026 guidance.

Sector investment stance and points to note: Our investment stance on the trading company sector is neutral. We expect strong progress in 1Q FY2026 earnings, but this is largely due to high resource prices, and with resource prices peaking, we think it is unlikely to be seen as a stock price catalyst. We continue to focus on whether sector companies can implement large-scale, high-quality investment projects that lead to expectations for an increase in ROE, and whether they adopt a proactive capital policy with an emphasis on ROE targets. The main points to watch at the time of 1Q FY2026 results are 1) whether **Mitsui & Co.** and **Mitsubishi** announce share buybacks, as they did not announce any plans for FY2026 at the start of the fiscal year (we do not expect an announcement by Mitsubishi but think Mitsui & Co. may announce a share buyback of at least ¥200 billion); 2) whether **Itochu** announces share buybacks as part of its FY2026 plan of ¥300 billion or more (we expect an announcement of around ¥200 million); and 3) whether **Marubeni** announces a share buyback to follow the ¥45 billion it announced and has implemented since the start of the fiscal year (we think it is possible, but our main scenario is for an announcement when it reports 2Q results).

Three oil refiners

1Q FY2026 earnings progress: We expect oil companies' 1Q FY2026 results to vary (all excluding inventory impact). For **ENEOS Holdings**, we expect operating profit to rise 41% YoY to ¥190 billion (32% of full-year guidance) and net profit to grow 168% to ¥120 billion (30%). Capital gains on the sale of shares in JX

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Advanced Metals (¥86 billion before tax) should boost earnings. For **Idemitsu Kosan**, we forecast pretax profit of ¥29.6 billion, down 13% YoY (21%) and net profit of ¥17.8 billion, down 56% (20%). We expect quarterly profit to be slightly below one-quarter of full-year guidance. For **Cosmo Energy Holdings**, we forecast that 1Q FY2026 recurring profit will decline 53% YoY to ¥10 billion (9%) and that net profit will fall 39% to ¥6 billion (15%). We think oil companies' 1Q results will be unavoidably weak due to the suspension of production and shipments from Abu Dhabi oil fields in the Middle East and the rise in the cost of sourcing oil products in the domestic oil business.

Sector investment stance and points to note: We have been recommending a somewhat cautious investment stance toward the oil wholesalers. We do not expect any changes in shareholder return measures at 1Q FY2026 results, such as revisions to FY2026 earnings guidance and announcements of additional share buybacks. As trends in domestic oil refining margins have become more opaque from an outsider's perspective due to the turmoil in the Middle East, we will focus on 1Q FY2026 results information and explanations given by company management teams at briefings. Points to watch include (1) passing on the costs of imported crude oil alternatives, and (2) resuming exports to Asia. The additional costs related to the procurement of crude oil from outside the Middle East have not been passed on to product prices in 1Q FY2026, and we expect each company to endeavor to do so from this 2Q onward. The Ministry of Economy, Trade and Industry (METI) announced that it will reflect the cost of alternative crude oil procurement when calculating subsidies for petroleum products starting this month. An additional ¥4.9/liter will be added to the July payments made to each oil company. Furthermore, according to industry publications such as RIM Intelligence's, it appears that the major oil wholesalers resumed exporting diesel fuel to Asia in July.

INPEX (1605)

2Q FY2026 earnings progress: We forecast INPEX's 2Q (April-June 2026) net profit at ¥121 billion, up 24% YoY. We expect strong profit in the mainstay business on the back of rising crude oil prices, with net profit from the Ichthys business rising 16% to ¥75 billion and net profit in the overseas oil & gas, other segment rising 23% to ¥45 billion. This would mean net profit in 1H FY2026 of ¥230.4 billion, or 51% of the ¥450 billion upper limit of full-year guidance (based on a \$83/bbl crude oil price), and 66% of the lower limit of ¥350 billion (based on a \$70/bbl crude oil price). The labor strike at Ichthys LNG in June 2026 ended quickly, so the impact on Ichthys's LNG production and shipments appears to be minor.

Investment opinion and points to note: We rate INPEX Overweight. However, with crude oil prices peaking out, the stock has underperformed TOPIX significantly since April. The points of focus in 2Q results are 1) whether it announces a share buyback (we expect an announcement of around ¥50 billion), and 2) whether it revises FY2026 guidance. Our base scenario is for a narrowing in the guidance range for net profit toward the the upper limit of ¥450 billion, but we think there is a certain degree of downside risk due to the decline in crude oil prices. Since the company's policy is for a total return ratio of more than 50%, net profit guidance and share buyback amounts tend to correlate closely.

Figure 1: Earnings estimates for trading companies and energy sector companies

											as of May'26			
(JPY bn)	FY24				FY25				FY26E	vs FY26				
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1QE	CoE				
ITOCHU	206.6	231.8	238.0	203.8	283.9	216.3	205.0	195.0	253.0	27%	801.8	880.3		
Marubeni	142.6	95.5	187.1	77.8	154.4	151.1	126.8	111.6	168.0	29%	471.4	503.0		
Mitsui & Co.	276.1	135.7	240.4	248.2	191.6	232.1	188.2	222.0	273.0	30%	1,063.7	900.3		
Sumitomo Corp	126.3	127.6	162.5	145.4	170.9	130.4	107.2	191.9	162.0	26%	386.4	561.9		
Mitsubishi Corp	354.4	263.7	209.4	123.3	203.1	152.7	252.1	192.5	319.0	29%	964.0	950.7		
Toyota Tsusho	95.8	85.7	96.3	84.7	98.3	88.6	100.1	83.5	107.0	27%	331.4	362.5		
Sojitz	23.0	21.3	31.8	34.5	21.1	24.2	35.1	23.2	29.0	22%	100.8	110.6		
Total of 7 Companies	1,224.9	961.4	1,165.4	917.6	1,123.4	995.3	1,014.6	1,019.7	1,311.0	28%	4,119.5	4,269.3		
	4.7%	3.6%	10.0%	-4.7%	-8.3%	3.5%	-12.9%	11.1%	16.7%	-	-10.7%	3.6%		
Idemitsu														
OP + Equity earnings (ex Inventory impact)	82.1	31.9	54.5	46.1	33.8	54.6	28.4	127.2	29.6	21%	310.5	214.7		
Net Profit (ex Inventory impact)	61.7	38.2	43.6	-18.7	40.0	37.1	28.3	86.6	17.8	20%	192.1	124.8		
ENEOS														
Operating Profit (ex Inventory impact)	113.1	95.1	179.0	-223.6	135.1	138.4	117.8	83.0	190.0	32%	393.2	429.3		
Net Profit (ex Inventory imopact)	55.3	56.5	118.3	36.3	44.8	94.7	74.1	50.5	120.0	30%	237.9	266.4		
Cosmo														
Recurring Profit (ex Inventory impact)	44.4	33.2	39.1	64.9	21.1	51.8	40.6	52.3	10.0	9%	162.2	181.6		
Net Profit (ex Inventory impact)	18.6	15.2	22.9	22.5	9.8	27.6	18.5	29.6	6.0	15%	82.5	79.2		
(JPY bn)	FY24			FY25			FY26E		vs FY26					
	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2QE	CoE	FY26E	FY28E		
INPEX	90.8	76.8	137.9	126.3	97.2	69.9	100.4	109.4	121.0	51%	427.3	393.8		
											CoE	CoE		
											450.0	350.0		

Note: CoE refers to the companies' estimates. JPMe refers to J.P. Morgan estimates. Net profit for trading companies and INPEX.
Source: Company data, J.P. Morgan.

Figure 2: Net profit by segment for ITOCHU

8001 ITOCHU																			May 26
(¥bn)	FY24				FY25				FY26E vsFY26		FY23		FY24	FY25	FY26E	FY27E	FY28E	FY26E	
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1QE	CoE				JPME	JPME	JPME			
Textile	5.3	7.4	57.8	3.4	8.9	15.3	11.9	7.2	10.0	19%	27.0	73.8	43.3	52.0	56.0	61.0	52.0		
Machinery	34.0	29.3	40.5	32.7	32.0	44.9	39.3	39.4	45.0	25%	131.6	136.5	155.6	185.0	192.0	199.0	180.0		
Metals & Minerals	52.5	47.9	32.7	45.2	33.6	30.0	39.9	40.1	45.0	26%	226.1	178.4	143.5	172.0	173.0	170.0	172.0		
Energy & Chemicals	17.8	15.2	17.6	28.0	19.5	18.2	17.3	14.3	25.0	33%	91.7	78.6	69.3	76.0	82.0	83.0	75.5		
Food	19.0	21.2	19.8	25.1	28.8	25.1	28.5	9.6	35.0	30%	66.3	85.1	92.1	120.0	125.0	129.0	115.5		
General Products & Realty	18.8	12.4	11.5	27.0	11.2	7.8	7.0	34.8	13.0	21%	66.2	69.7	60.8	64.0	68.0	75.0	63.0		
ICT & Financial Business	16.0	21.9	20.2	25.2	16.1	23.9	20.8	32.2	20.0	21%	67.8	83.2	93.0	101.0	104.0	110.0	97.0		
The 8th	10.9	43.3	9.7	1.2	15.4	17.0	12.9	-0.3	10.0	33%	35.8	65.1	45.0	32.0	35.0	40.0	30.6		
Others	32.2	33.4	28.3	15.9	118.4	34.2	27.4	17.7	50.0	31%	89.4	109.9	197.6	150.0	160.0	170.0	163.5		
Total Net Profit	206.6	231.8	238.0	203.8	283.9	216.3	205.0	195.0	253.0	27%	801.8	880.3	900.3	950.0	1,000.0	1,040.0	950.0		
	yoy	-3%	16%	20%	7%	37%	-7%	-14%	-4%	-11%	-	0%	10%	2%	6%	5%	4%		
One-off gains/losses	4.5	38.0	52.5	15.0	103.0	18.5	10.5	-13.0	40.0	-	13.0	110.0	119.0	100.0	110.0	120.0	90.0		

Note: CoE refers to the company's estimates. JPME refers to J.P. Morgan estimates.
Source: Company data, J.P. Morgan estimates.

Figure 3: Net profit by segment for Marubeni

8002 Marubeni											May 26
(¥bn)	FY24				FY25				FY26E vsFY26		
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1QE	CoE	
Lifestyle	8.1	6.6	7.1	7.7	7.0	4.1	5.9	8.8	7.0	20%	
Food & Agri Business	31.5	3.4	24.7	9.4	35.5	5.8	20.7	19.4	38.0	43%	
Metals & Mineral Resources	34.5	25.1	37.9	26.0	28.7	23.5	44.3	37.8	50.0	33%	
Energy & Chemicals	10.0	13.1	62.4	0.6	9.1	-4.9	5.0	13.9	15.0	36%	
Power & Infrastructure Services	18.9	17.1	14.5	10.5	16.8	20.1	11.8	5.0	17.0	24%	
Finance, Leasing & Real Estate Business	23.5	17.1	3.5	15.0	30.9	94.9	14.5	21.8	20.0	26%	
Aerospace & Mobility	12.4	13.6	20.3	5.0	11.5	12.5	14.6	9.2	12.0	22%	
IT Solutions	-0.1	0.6	1.3	1.7	0.7	2.0	1.4	1.3	1.0	14%	
Next Generation Business Development	0.9	0.5	2.5	0.8	10.0	4.1	2.3	3.2	3.0	21%	
Next Generation Corporate Development	-1.0	0.3	-0.1	-1.3	-1.4	0.8	0.2	-1.3	0.0	0%	
Other	3.8	-1.9	12.9	2.4	5.5	-11.7	6.1	-7.7	5.0	13%	
Total Net Profit	142.6	95.5	187.1	77.8	154.4	151.1	126.8	111.6	168.0	29%	
yoy	1%	-13%	56%	-22%	8%	58%	-32%	43%	9%	-	
One-off gains/losses	9.0	5.0	59.0	-22.0	26.0	60.0	-4.0	-18.0	5.0	-	

Note: CoE refers to the company's estimates. JPME refers to J.P. Morgan estimates.
Source: Company data, J.P. Morgan estimates.

Figure 4: Net profit by segment for Mitsui & Co.

8031 Mitsui & Co.											May-26	
(¥bn)	FY24				FY25				FY26E vsFY26		FY23	FY24
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1QE	CoE	FY25	FY26E
Mineral & Metal Resources	80.5	81.0	67.7	56.2	51.5	62.8	85.4	54.0	80.0	32%	335.1	285.4
Iron & Steel Products	6.0	1.3	1.6	4.2	6.5	4.8	5.2	2.4	5.0	25%	11.2	13.2
Energy (New segment)	-	-	-	-	-	-	-	-	55.0	28%	-	157.8
Energy (Old segment)	19.2	46.1	58.6	49.6	18.9	83.9	35.7	25.7	-	-	281.7	173.5
Mobility & Digital & Infrastructure (New segment)	-	-	-	-	-	-	-	-	70.0	29%	-	232.3
Machinery & Infrastructure (Old segment)	126.0	22.2	37.8	46.9	50.7	51.3	60.1	63.8	-	-	248.7	232.9
Chemicals	18.2	3.9	18.2	35.6	30.9	12.5	12.1	12.0	25.0	33%	39.2	75.9
Wellness Ecosystem	14.0	6.0	12.3	21.4	14.8	5.9	12.3	18.9	17.0	31%	94.1	53.7
Innovation & Corporate Development	6.2	11.8	49.1	20.2	10.3	15.0	-21.1	54.7	18.0	26%	53.8	87.3
Others	6.0	-36.6	-4.8	14.1	7.9	-4.2	-1.4	-9.4	3.0	30%	-0.2	-21.4
Total Net Profit	276.1	135.7	240.4	248.2	191.6	232.1	188.2	222.0	273.0	30%	1,063.7	900.3
yoy	9%	-33%	-11%	-26%	-31%	71%	-22%	-11%	42%	-	-6%	-15%
One-off gains/losses	76.0	-27.0	-5.0	44.0	20.0	-0.7	-28.0	45.0	0.0	-	200.0	88.0
											36.3	94.0
											80.0	80.0
											920.0	1,100.0
											10%	-
											94.0	-

Note: CoE refers to the company's estimates. JPME refers to J.P. Morgan estimates.
Source: Company data, J.P. Morgan estimates.

Figure 5: Net profit by segment for Sumitomo

8053 Sumitomo Corp											as of May 26	
(¥bn)	FY24				FY25				FY26E vsFY26		FY23	FY24
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1QE	CoE	FY25	FY26E
Steel	18.2	17.0	18.3	14.9	18.8	15.3	17.0	23.1	17.0	24%	69.2	68.4
Automotive	7.2	16.2	16.9	10.8	39.7	13.8	3.2	6.6	5.0	15%	51.8	51.2
Transportation & Construction Systems	20.0	18.8	27.0	35.7	20.9	19.4	24.7	23.9	26.0	25%	96.2	101.5
Diverse Urban Development	14.3	6.2	23.0	33.6	36.2	7.9	8.0	29.5	25.0	26%	46.5	77.1
(Old) Media & Digital	6.9	1.3	27.2	9.8	8.4	13.1	14.5	15.2	-	-	-1.0	45.2
(New) Communication service	-	-	-	-	-	-	-	-	3.0	20%	-	25.8
(New) Digital & AI	-	-	-	-	-	-	-	-	14.0	26%	-	19.4
Lifestyle Business	0.4	2.2	8.4	3.1	0.3	2.0	-1.2	-4.7	4.0	24%	-3.7	14.1
Mineral Resources	15.3	35.1	11.3	29.4	10.6	21.0	15.7	35.1	20.0	21%	-9.5	91.1
Chemical Solutions	9.1	5.7	6.3	0.2	7.2	7.6	7.5	4.2	8.0	24%	16.4	21.4
Energy Transformation Business	31.0	27.9	24.8	12.7	24.0	24.1	21.7	32.6	30.0	26%	84.3	96.4
Corporate and Eliminations	4.0	-2.9	-0.7	-5.0	4.7	6.2	-3.8	26.4	10.0	37%	36.3	-4.5
Total Net Profit	126.3	127.6	162.5	145.4	170.9	130.4	107.2	191.9	162.0	26%	386.4	561.9
yoy	-2%	-18%	36%	-919%	35%	2%	-34%	32%	-5%	-	-32%	45%
One-off gains/losses	-1.0	8.0	21.0	19.0	34.0	9.0	-13.0	42.0	10.0	-	-114.0	47.0
											72.0	40.0
											40.0	40.0
											50.0	50.0
											630.0	740.0
											5%	-
											40.0	-

Note: CoE refers to the company's estimates. JPME refers to J.P. Morgan estimates.
Source: Company data, J.P. Morgan estimates.

Figure 6: Net profit by segment for Mitsubishi

8058 Mitsubishi Corp											May 26	
(¥bn)	FY24				FY25				FY26E vsFY26		FY23	FY24
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1QE	CoE	FY25	FY26E
Energy & Power Solution	-	-	-	-	-	-	-	-	130.0	36%	-	186.2
Previously: Earth Environment & Energy	60.8	33.9	75.1	28.9	40.9	44.9	42.0	33.0	-	-	238.8	198.6
Previously: Electric Power Solutions	2.4	-8.9	-14.5	5.5	-1.6	18.4	23.4	3.2	-	-	97.9	-15.6
Materials Solution	17.1	19.8	11.2	20.1	11.9	8.2	8.9	-2.7	15.0	30%	73.9	70.0
Mineral Resources	-7.1	7.2	13.5	26.1	35.8	7.1	26.6	15.6	20.0	11%	295.5	235.0
Urban Development & Infrastructure	-7.1	7.2	13.5	26.1	35.8	7.1	26.6	15.6	20.0	27%	50.9	41.0
Mobility	34.8	20.2	44.0	13.4	26.5	12.2	26.0	-7.2	25.0	24%	141.4	114.3
Food Industry	25.2	35.2	25.9	6.1	21.0	13.1	25.1	24.0	23.0	23%	-25.3	94.7
Smart-Life Creation	16.2	140.1	17.6	11.1	26.1	23.1	27.0	14.8	26.0	22%	102.7	188.1
Other	39.3	-13.8	2.8	13.6	17.6	9.0	13.1	8.7	60.0	55%	-11.8	21.4
Total Net Profit	354.4	263.7	209.4	123.3	203.1	152.7	252.1	192.5	319.0	29%	964.0	950.7
yoy	12%	78%	-9%	-54%	-43%	-42%	20%	56%	57%	-	-18%	-1%
One-off gains/losses	131.0	146.2	12.5	6.0	50.3	14.8	45.6	9.0	100.0	-	-9.2	295.7
											119.7	280.0
											180.0	180.0
											200.0	200.0
											1,100.0	1,100.0
											-4%	-
											280.0	-

Note: CoE refers to the company's estimates. JPME refers to J.P. Morgan estimates.
Source: Company data, J.P. Morgan estimates.

Figure 7: Net profit by segment for Toyota Tsusho

8015 Toyota Tsusho																			Apr 26
(¥bn)	FY24				FY25				FY26E vsFY26									FY26E	
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1QE	CoE	FY23	FY24	FY25	FY26E	FY27E	FY28E	FY26E		
														JPME	JPME	JPME	CoE		
Metal+(Plus)	11.0	12.4	11.5	8.5	11.4	10.1	11.1	10.6	11.0	25%	36.1	43.5	43.2	45.0	46.0	47.0	44.0		
Circular Economy	12.7	12.9	11.4	9.9	12.1	6.7	12.1	13.9	13.0	25%	50.0	46.9	44.8	55.0	64.0	72.0	51.0		
Supply Chain	12.9	11.1	11.3	14.0	14.0	12.6	13.3	12.9	15.0	27%	45.5	49.3	52.8	55.0	58.0	62.0	55.0		
Mobility	13.1	16.0	16.0	12.3	15.3	15.2	21.2	12.3	17.0	25%	56.0	57.4	64.0	65.0	69.0	72.0	69.0		
Green Infrastructure	9.4	2.7	13.9	10.5	7.8	7.7	7.4	-5.0	8.0	27%	27.9	36.6	17.9	34.0	36.0	40.0	30.0		
Digital Solutions	7.4	7.9	5.2	10.2	8.6	7.4	6.8	11.2	13.0	35%	29.7	30.7	34.0	40.0	40.0	43.0	37.0		
Lifestyle	5.9	3.0	2.2	4.2	4.2	6.0	3.0	7.5	5.0	31%	11.8	15.4	20.7	17.0	19.0	19.0	16.0		
Africa	18.6	21.0	19.4	20.4	22.5	23.9	24.5	23.2	25.0	26%	69.1	79.5	94.0	104.0	114.0	124.0	98.0		
Total Net Profit	95.8	85.7	96.3	84.7	98.3	88.6	100.1	83.5	107.0	27%	331.4	362.5	370.5	420.0	450.0	480.0	400.0		
yoy	3%	1%	3%	40%	3%	3%	4%	-1%	9%	-	17%	9%	2%	13%	7%	7%	8%		
One-off gains/losses	2.5	-3.0	8.0	3.5	1.5	-1.0	4.0	-19.5	0.0	-	-4.5	11.0	-15.0	0.0	0.0	0.0	-		

Note: CoE refers to the company's estimates. JPME refers to J.P. Morgan estimates.

Source: Company data, J.P. Morgan estimates.

Figure 8: Net profit by segment for Sojitz

2768 Sojitz																		May 26
(¥bn)	FY24				FY25				FY26E	vsFY26E		FY23	FY24	FY25	FY26E	FY27E	FY28E	FY26E
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1QE	CoE					JPME	JPME	JPME	CoE
Automotive	-0.1	0.2	1.1	0.4	-0.4	1.2	0.6	-6.7	1.0	20%		2.3	1.6	-5.3	5.0	6.0	7.0	5.0
Aerospace, Transportation & Infrastructure	3.1	2.8	3.3	3.2	3.1	7.5	1.9	3.1	4.0	21%		6.1	12.3	15.5	16.0	17.0	18.0	19.0
Energy & Infrastructure	2.0	3.1	3.7	13.7	4.0	3.5	13.5	10.9	7.0	25%		14.0	22.4	32.3	29.0	32.0	33.0	28.0
Metals, Mineral Resources & Recycling	5.5	6.2	8.6	8.9	3.5	3.8	5.1	-7.5	5.0	23%		43.5	29.2	3.8	21.0	22.0	23.0	22.0
Chemicals	5.0	4.8	6.4	3.9	5.5	4.7	5.9	4.0	7.0	32%		14.8	20.0	21.0	24.0	25.0	28.0	22.0
Consumer Industry & Agriculture Business	2.2	2.1	1.8	0.2	2.8	1.5	0.4	1.2	3.0	23%		7.5	6.4	8.6	8.0	8.0	9.0	13.0
Retail & Consumer Service	2.1	2.4	5.1	1.8	2.1	1.7	5.1	5.3	2.0	13%		13.1	11.4	11.0	14.0	15.0	15.0	15.0
Others	3.2	-0.3	1.8	2.5	0.6	0.2	2.8	12.8	0.0	0%		-0.5	7.2	16.7	7.0	7.0	7.0	6.0
Total Net Profit	23.0	21.3	31.8	34.5	21.1	24.2	35.1	23.2	29.0	22%		100.8	110.6	103.6	124.0	132.0	140.0	130.0
yoy	4%	-18%	17%	35%	-9%	14%	10%	-33%	38%	-		-9%	10%	-6%	20%	6%	6%	25%
One-off gains/losses	2.9	2.1	0.8	-1.3	1.8	2.6	12.7	-5.9	-	-		-2.5	4.5	11.2	10.0	10.0	10.0	-
Core Earnings	27.5	26.4	36.4	32.4	22.9	23.7	28.0	27.8	-	-		121.7	122.7	102.4	142.6	152.0	161.4	165.0

Note: CoE refers to the company's estimates. JPME refers to J.P. Morgan estimates.

Source: Company data, J.P. Morgan estimates.

Figure 9: Net profit by segment for INPEX

1605 INPEX													May26	May26							
(¥bn)	FY24				FY25				FY26				vsFY26	FY23	FY24	FY25	FY26E	FY27E	FY28E	FY26E	FY26E
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2QE	CoE						JPME	JPME	JPME	CoE	CoE
Japan O&G	6.0	3.4	2.3	2.0	11.3	6.0	4.4	0.8	2.0	1.0	-		41.9	13.7	22.5	6.0	14.0	13.0	-	-	
Overseas O&G - Ichthys Project	90.8	59.2	46.6	51.6	74.2	64.8	42.2	89.6	70.3	75.0	-		309.9	248.2	270.8	317.0	436.0	355.0	-	-	
Overseas O&G - Others	25.5	26.5	40.6	73.1	35.6	36.7	25.1	34.4	35.1	45.0	-		43.6	165.7	131.8	135.0	156.0	126.0	-	-	
Others	0.3	0.9	-7.0	-8.7	-0.2	-5.2	-0.7	-22.8	-1.5	0.0	-		-10.2	-14.5	-28.8	-10.0	-10.0	-10.0	-	-	
Total Net Profit	121.8	90.8	76.8	137.9	126.3	97.2	69.9	100.4	109.4	121.0	51%		321.7	427.3	393.8	450.0	600.0	480.0	450.0	350.0	
yoy	-17%	-11%	334%	149%	4%	7%	-9%	-27%	-13%	24%	-		-35%	43%	-8%	14%	33%	-20%	14%	-11%	
One-off gains/losses	4.3	4.1	73.2	9.3	-4.3	0.0	-7.2	-3.8	0.0	0.0	-		-155.0	90.9	-15.3	0.0	0.0	0.0	-	-	

Note: CoE refers to the company's estimates. JPME refers to J.P. Morgan estimates.

Source: Company data, J.P. Morgan estimates.

Figure 10: Operating profit + equity earnings by segment for Idemitsu

5019 Idemitsu											as of May26		May26							
(¥bn)	FY24				FY25				FY26E	vsFY26										
OP + Equity earnings*	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1QE	CoE			FY26E	FY27E	FY28E	FY26E	FY30E			
													JPME	JPME	JPME		CoE			
Petroleum	95.8	-33.6	24.4	35.5	-29.8	40.8	2.5	164.3	25.0	29%			219.7	122.1	177.7	101.0	88.0	163.0	85.0	-
(excluding inventory valuation)	47.8	15.0	46.9	42.3	20.7	49.8	19.5	117.2	25.0	24%			167.2	152.0	207.1	124.0	158.0	163.0	105.0	225.0
Basic chemicals	7.5	-4.1	-7.6	-3.8	-4.5	-3.2	-2.8	3.7	-5.0	-			22.0	-8.0	-6.8	-17.0	6.7	15.2	-30.0	23.0
Functional materials	7.8	8.2	6.7	5.6	9.3	9.7	10.0	4.5	9.0	28%			27.6	28.2	33.4	36.2	38.2	40.2	32.0	62.0
Power and renewable energy	-3.0	-2.8	-1.3	-5.2	-0.4	-0.3	0.4	-1.4	0.0	0%			-7.6	-12.3	-1.8	3.0	5.0	7.0	4.0	14.0
Resources	24.8	18.0	16.8	17.8	11.9	5.2	9.0	7.0	5.6	12%			116.9	77.4	33.1	57.7	49.6	39.0	45.0	74.0
Oil exploration and production	6.5	3.4	3.7	5.1	4.5	3.5	2.4	3.6	4.5	28%			19.1	18.7	14.0	20.6	19.2	15.5	16.0	-
Coal business	18.3	14.6	13.2	12.7	7.4	1.8	6.6	3.3	4.0	14%			97.8	58.7	19.1	37.1	30.4	23.5	29.0	-
Others	-2.8	-2.3	-7.1	-10.5	-3.1	-6.6	-7.6	-3.6	-5.0	31%			-15.6	-22.7	-20.9	-20.0	-20.0	-20.0	-16.0	-38.0
Total OP+Equity Profit*	130.1	-16.7	32.0	39.3	-16.7	45.6	11.4	174.3	29.6	25%			363.0	184.8	214.7	161.0	167.0	244.0	120.0	-
(ex Inventory adjustment)	82.1	31.9	54.5	46.1	33.8	54.6	28.4	127.2	29.6	21%			310.5	214.7	244.1	184.0	237.0	244.0	140.0	360.0
yoy	43%	-77%	38%	-40%	-59%	71%	-48%	176%	-13%	-			23%	-31%	14%	-25%	29%	3%	-43%	-
Net Profit	95.0	4.4	28.0	-23.4	5.2	30.8	16.5	119.3	17.8	24%			228.5	104.1	171.9	110.0	120.0	170.0	75.0	-
Net Profit (ex Inventory adjustment)	61.7	38.2	43.6	-18.7	40.3	37.1	28.3	86.6	17.8	20%			192.1	124.8	192.3	130.0	170.0	170.0	90.0	-
yoy	27%	-64%	25%	n.a.	-35%	-3%	-35%	n.a.	-56%	-			-11%	-35%	54%	-32%	31%	0%	-53%	-
Inventory adjustment (before tax)	48.0	-48.6	-22.5	-6.8	-50.5	-9.0	-17.0	47.1	0.0	-			52.5	-29.9	-29.4	-23.4	-70.0	0.0	-20.0	-
Inventory adjustment (after tax)	33.4	-33.8	-15.6	-4.7	-35.1	-6.3	-11.8	32.7	0.0	-			36.5	-20.8	-20.4	-16.2	-48.7	0.0	-	-

*IFRS will be adopted starting in FY2026. For FY2025 and earlier, figures are presented on an 'OP + Equity earnings' basis.

Note: CoE refers to the company's estimates. JPME refers to J.P. Morgan estimates.

Source: Company data, J.P. Morgan estimates.

Figure 11: Operating profit and net profit by segment for ENEOS

5020 ENEOS HD											as of May26								
(¥bn)	FY24				FY25				FY26E	vsFY26									
Operating Profits	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1QE	CoE			FY23	FY24	FY25	FY26E	FY27E	FY28E	FY26E
																JPME	JPME	JPME	CoE
Petroleum Products	77.6	-84.9	80.7	-124.1	4.0	67.3	47.4	173.6	55.0	19%			261.8	-50.7	292.4	212.0	179.0	316.0	285.0
(ex inventory impact)	39.9	14.8	103.5	-151.3	88.8	89.3	61.2	60.9	55.0	21%			190.1	6.9	300.2	245.0	279.0	316.0	265.0
Oil and Natural Gas E&P	22.8	23.9	26.0	14.7	13.2	14.2	18.3	5.1	18.0	18%			91.5	87.4	50.8	99.0	87.0	70.0	100.0
High Performance Materials	6.6	2.5	4.8	3.8	5.3	4.0	5.0	-3.2	5.0	31%			7.2	17.7	11.1	19.0	20.0	21.0	16.0
Electricity	9.3	4.9	6.4	0.3	8.0	10.6	4.6	-1.2	5.0	33%			-6.4	21.0	22.0	20.0	22.0	24.0	15.0
Renewable Energy	0.7	0.7	-1.0	-17.3	0.3	0.9	-0.6	3.7	0.0	0%			-11.8	-16.9	-0.9	2.0	5.0	5.0	1.0
Other	9.0	6.5	18.9	13.4	20.8	18.1	29.4	23.0	107.0	55%			122.6	313.2	91.3	175.1	90.0	85.0	193.0
Metals					8.0	10.0	15.6	10.6	96.3	241%			81.1	111.1	44.2	130.1	45.0	40.0	40.0
Total Operating Profits	150.8	-4.8	156.4	-196.4	50.3	116.4	104.0	195.8	190.0	31%			465.0	371.7	466.6	525.0	398.0	516.0	610.0
(ex Inventory impact)	113.1	95.1	179.0	-223.6	135.1	138.4	117.8	83.0	190.0	32%			393.2	429.3	474.4	560.0	500.0	520.0	590.0
yoy	-9%	-34%	169%	-	19%	46%	-34%	n.a.	41%	-			60%	9%	11%	18%	-11%	4%	24%

(¥bn)	FY24				FY25				FY26E	vsFY26									
Net Profits	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1QE	CoE			FY23	FY24	FY25	FY26E	FY27E	FY28E	FY26E
																JPME	JPME	JPME	CoE
Petroleum Products	51.1	-53.6	57.7	-111.8	-28.6	50.5	33.0	134.9	33.0	18%			155.1	-56.6	189.8	130.7	108.6	197.6	185.0
(ex. inventory impact)	24.7	16.3	73.5	-130.8	30.8	65.9	42.7	56.0	33.0	19%			104.9	-16.3	195.3	150.7	178.6	197.6	171.0
Oil and Natural Gas E&P	7.5	10.6	13.2	12.9	1.1	7.8	8.4	-7.4	9.0	16%			43.9	44.2	9.9	50.0	44.0	35.0	55.0
High Performance Materials	4.1	1.4	3.2	2.3	1.8	2.2	2.3	-5.9	3.3	54%			7.2	11.0	0.4	11.1	11.7	12.4	6.0
Electricity	6.5	3.0	4.4	-2.9	4.5	6.4	2.8	-6.0	3.3	36%			-6.4	11.0	7.7	12.4	13.7	15.0	9.0
Renewable Energy	-0.2	-0.3	-1.5	-17.1	-1.2	-0.3	-1.8	4.1	0.0	0%			-11.8	-19.1	-6.0	-2.0	1.0	1.0	-6.0
Other	-0.4	2.7	13.9	219.4	7.9	12.7	19.7	16.6	74.9	45%			100.1	235.6	56.9	119.0	61.0	58.0	165.0
Metals					8.0	10.0	15.6	10.6	96.3	241%			99.5	67.0	44.2	130.1	45.0	40.0	40.0
Total Net Profits	81.6	-13.5	102.5	55.4	-14.5	79.3	64.5	129.5	120.0	29%			288.1	226.1	258.7	320.0	240.0	320.0	415.0
(ex Inventory impact)	55.3	56.5	118.3	36.3	44.8	94.7	74.1	50.5	120.0	30%			237.9	266.4	264.2	340.0	310.0	320.0	400.0
yoy	-18%	-36%	675%	-45%	-19%	68%	-37%	39%	168%	-			146%	12%	-1%	29%	-9%	3%	51%

Inventory impact (before tax)	37.7	-99.9	-22.6	27.2	-84.8	-22.0	-13.8	112.8	0.0	-			71.7	-57.6	-7.8	-33.4	-100.0	0.0	20.0
Inventory impact (after tax)	26.4	-69.9	-15.8	19.0	-59.4	-15.4	-9.7	78.9	0.0	-			50.2	-40.3	-5.5	-20.0	-70.0	0.0	14.0

Note: CoE refers to the company's estimates. JPME refers to J.P. Morgan estimates.

Source: Company data, J.P. Morgan estimates.

Figure 12: Recurring profit by segment for Cosmo

5021 COSMO Energy HD											as of May26 as of Jun26								
(¥bn)	FY24				FY25				FY26E	vsFY26		FY23	FY24	FY25	FY26E	FY27E	FY28E	FY26E	FY28E
Recurring Profit	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1QE	CoE					JPME	JPME	JPME	CoE	JPME
Petroleum	33.6	-21.0	27.5	21.7	-6.5	30.6	12.8	39.3	10.0	16%		90.7	61.8	76.3	51.2	54.0	91.0	61.0	-
Petroleum (ex Inventory valuation change)	24.9	6.5	27.9	33.3	10.4	33.4	23.1	25.8	10.0	18%		91.3	92.6	92.8	61.2	84.0	91.0	56.0	87.5
Petrochemical	-1.2	-3.2	-0.5	-0.2	-2.9	0.7	0.7	-1.5	0.0	0%		-7.8	-5.0	-3.1	1.0	3.0	4.0	1.0	5.0
Oil Exploration and production	16.6	28.5	7.8	29.6	8.9	15.1	13.8	27.4	-3.0	-8%		68.3	82.4	65.3	40.0	69.0	50.0	38.0	86.0
Renewables	0.0	-0.9	0.9	1.3	0.2	0.2	0.5	1.9	0.0	0%		2.8	1.3	2.8	3.0	4.0	5.0	3.0	3.5
Others	4.2	2.3	3.0	0.8	4.5	3.3	1.5	-1.3	3.0	25%		7.5	10.3	8.0	13.0	13.0	13.0	12.0	8.0
Total Recurring Profit	53.1	5.7	38.7	53.3	4.2	49.0	30.3	65.8	10.0	9%		161.6	150.8	149.2	108.0	143.0	163.0	115.0	-
(ex Inventory adjustment)	44.4	33.2	39.1	64.9	21.1	51.8	40.6	52.3	10.0	9%		162.2	181.6	165.7	120.0	170.0	160.0	110.0	190.0
yoy	64%	-35%	44%	13%	-53%	56%	4%	-19%	-53%	-		14%	12%	-9%	-28%	42%	-6%	-34%	-
Net Profit (ex Inventory valuation change)	18.6	15.2	22.9	22.5	9.8	27.6	18.5	29.6	6.0	15%		82.5	79.2	85.5	49.0	92.0	82.0	40.0	86.0
yoy	294%	-45%	210%	-47%	-47%	82%	-19%	23%	-39%	-		56%	-4%	8%	-43%	88%	-11%	-53%	-
Inventory valuation (before tax)	8.7	-27.5	-0.4	-11.6	-16.9	-2.8	-10.3	13.5	0.0	-		-0.6	-30.8	-16.5	-10.0	-30.0	0.0	5.0	-
Inventory valuation (After tax)	6.1	-19.3	-0.3	-8.1	-11.8	-2.0	-7.2	9.5	0.0	-		-0.4	-21.6	-11.5	-7.0	-21.0	0.0	4.0	-

Note: CoE refers to the company's estimates. JPME refers to J.P. Morgan estimates.
Source: Company data, J.P. Morgan estimates.

Figure 13: Net profit and ROE forecasts for trading companies

Net income							FY26E		Medium-term plan		
(¥ bil)	FY23	FY24	FY25	FY26E	FY27E	FY28E	JPME	JPME	CoE		
ITOCHU	801.8	880.3	900.3	950.0	1,000.0	1,040.0			950.0	950.0	(27/3)
Marubeni	471.4	503.0	543.9	600.0	620.0	630.0			580.0	620.0	(28/3)
Mitsui & Co.	1,063.7	900.3	834.0	1,080.0	1,180.0	1,190.0			920.0	1,100.0	(29/3)
Sumitomo	386.4	561.9	600.3	650.0	700.0	740.0			630.0	650.0	(27/3)
Mitsubishi	964.0	950.7	800.5	1,290.0	1,220.0	1,170.0			1,100.0	1,200.0	(28/3)
Toyota Tsusho	331.4	362.5	370.5	420.0	450.0	480.0			400.0	450.0	(28/3)
Sojitz	100.8	110.6	103.6	124.0	132.0	140.0			130.0	120.0	(25/3-27/3 Ave.)
Total of 5 Companies	3,687.3	3,796.1	3,678.9	4,570.0	4,720.0	4,770.0			4,180.0		
Total of 7 Companies	4,119.5	4,269.3	4,153.0	5,114.0	5,302.0	5,390.0			4,710.0		
YoY	-11%	4%	-3%	23%	4%	2%			13%		

ROE							FY26E		Medium-term plan		
(%)	FY23	FY24	FY25	FY26E	FY27E	FY28E	JPME	JPME	CoE		
ITOCHU	15.6%	15.7%	14.6%	14.1%	14.1%	14.0%			15.0%	15.0%	(27/3)
Marubeni	15.2%	14.2%	13.6%	13.3%	12.8%	12.1%			15.0%	15.0%	(28/3)
Mitsui & Co.	15.3%	11.9%	10.2%	12.0%	12.5%	12.1%			12.0%	12.0%	(29/3)
Sumitomo	9.4%	12.4%	12.9%	13.5%	13.4%	13.2%			12.0%	12.0%	(27/3)
Mitsubishi	11.3%	10.3%	8.5%	13.3%	12.0%	11.2%			12.0%	12.0%	(28/3)
Toyota Tsusho	15.1%	14.2%	12.8%	14.1%	15.4%	14.9%			15.0%	15.0%	(28/3)
Sojitz	11.4%	11.7%	10.1%	11.0%	10.9%	10.8%			12.0%	12.0%	(25/3-27/3 Ave.)
Weighted average of 7 Companies	13.3%	12.6%	11.4%	13.1%	13.0%	12.5%					

Note: CoE refers to the company's estimates. JPME refers to J.P. Morgan estimates.
5 companies refers to the big 5: ITOCHU, Marubeni, Mitsui & Co., Sumitomo, and Mitsubishi.
Source: Company data, J.P. Morgan estimates.

Figure 14: Net profit and ROE forecasts for energy sector companies

Net Income (excl. Inventory impact)

(JPY bil)	FY23	FY24	FY25	FY26E JPME	FY27E JPME	FY28E JPME	FY26E Medium-term plan		
							CoE		
INPEX	321.7	427.3	393.8	450.0	600.0	480.0	350-450	-	-
Idemitsu	192.1	124.8	192.3	130.0	170.0	170.0	90.0*	-	(FY30E)
ENEOS	237.9	266.4	264.2	340.0	310.0	320.0	400.0	320.0	(FY27E)
Cosmo	82.5	79.2	85.5	49.0	92.0	82.0	40.0	60.0	(FY25E)
3 Oil Refinery Cos	512.5	470.4	542.0	519.0	572.0	572.0	530.0	-	-
	32%	-8%	15%	-4%	10%	0%	13%	-	-
4 Oil cos total	834.2	897.8	935.8	969.0	1,172.0	1,052.0	-	-	-
	-6%	8%	4%	4%	21%	-10%	-	-	-

ROE (excl. Inventory impact)

	FY23	FY24	FY25	FY26E JPME	FY27E JPME	FY28E JPME	FY26E Medium-term plan		
							CoE		
INPEX	8.0%	9.5%	8.2%	9.3%	11.7%	8.9%	7.4-9.4%	10.0%	(FY35E)
Idemitsu	11.3%	7.1%	10.6%	6.7%	8.6%	8.3%	6.1%*	13.0%*	(FY30E)
ENEOS	7.8%	8.4%	8.2%	10.0%	9.0%	9.1%	-	10.0%	(FY27E)
Cosmo	14.6%	13.4%	14.4%	8.0%	14.9%	12.8%	6.5%	10.0%	(FY25E)

Note: CoE refers to the companies' estimates. JPME refers to J.P. Morgan estimates.

Source: Company data, J.P. Morgan estimates.

Figure 15: Assumptions for our earnings forecasts

Assumption as of 7/7/2026 (before 1Q FY2026 results)

		CY25				CY26				CY27				FY									LT
		1Q	2Q	3Q	4Q	1Q	2Q	2QE	3QE	4QE	1QE	2QE	23/3	23/3	24/3	25/3	26/3	27/3E	28/3E	29/3E			
JPY/US\$ (average)		152.6	144.6	147.5	154.2	156.9	159.4	155.0	155.0	155.0	155.0	112.4	135.5	144.6	152.6	150.8	156.1	155.0	155.0	150.0			
JPY/US\$ (end)		149.5	144.8	147.9	156.7	158.7	158.7	155.0	155.0	155.0	155.0	122.4	133.5	151.4	149.5	158.7	155.9	155.0	155.0	150.0			
JPY/AUD (average)		94.0	94.5	96.5	101.2	109.0	113.0	110.0	110.0	110.0	110.0	83.0	92.7	95.1	99.5	100.3	110.8	110.0	110.0	105.0			
US\$/AUD (average)		0.64	0.64	0.65	0.66	0.69	0.71	0.71	0.71	0.71	0.71	0.74	0.68	0.66	0.65	0.66	0.71	0.71	0.71	0.70			
Crude Oil(JCC)	JPY/l	76.2	68.5	66.8	69.3	67.7	104.8	94.6	84.8	84.8	84.8	54.1	87.4	77.8	79.4	68.1	89.8	81.2	75.1	67.9			
Crude Oil(JCC)	US\$/bbl	79.2	75.2	71.7	71.5	68.6	104.5	97.0	87.0	87.0	87.0	76.3	102.8	85.4	82.7	71.8	91.4	83.3	77.0	72.0			
Crude Oil(WTI)	US\$/bbl	71.5	63.8	65.0	59.1	72.7	93.1	90.0	80.0	80.0	80.0	76.9	89.8	77.7	74.5	65.2	83.3	73.3	67.0	62.0			
Crude Oil(Brent)	US\$/bbl	75.0	66.7	68.2	63.1	78.4	97.0	90.0	80.0	80.0	80.0	80.0	95.1	82.1	78.2	69.1	84.3	76.3	70.0	65.0			
Crude Oil(Dubai)	US\$/bbl	76.3	66.7	69.9	63.9	83.3	98.8	90.0	80.0	80.0	80.0	77.6	92.5	81.9	78.5	71.0	84.7	76.3	70.0	65.0			
Natural Gas(Henry Hub)	US\$/MMBtu	3.87	3.51	3.07	4.04	3.47	2.94	2.80	3.00	3.50	3.60	4.17	6.08	2.50	2.85	3.52	3.26	3.28	3.50	3.50			
Japan LNG Import price, CIF	US\$/MMBtu	11.94	11.52	11.11	10.57	10.73	10.85	10.22	12.85	16.88	16.31	11.70	17.96	12.48	11.81	10.98	14.22	15.31	14.05	12.50			
Thermal Coal, FOB	US\$/t	106.9	102.7	111.0	107.7	119.9	137.2	130.0	130.0	130.0	130.0	182.5	348.9	140.2	131.7	110.3	131.8	125.0	120.0	120.0			
Hard Coking Coal Spot, FOB	US\$/t	225.3	184.9	186.3	210.4	226.5	238.8	230.0	230.0	230.0	240.0	306.5	329.9	288.2	212.3	202.0	234.7	230.0	220.0	215.0			
Hard Coking Coal Contract, FOB	US\$/t	193.7	183.1	180.5	191.7	229.8	-	-	-	-	-	271.7	351.7	293.8	218.3	196.3	-	-	-	-			
Iron Ore Spot, Fe61%, CFR China	US\$/t	102.9	94.6	102.3	105.5	103.8	106.0	100.0	100.0	100.0	100.0	153.9	117.3	119.1	104.6	101.5	101.5	100.0	100.0	90.0			
LME Copper	US\$/MT	9,336	9,508	9,814	11,105	12,824	13,335	12,500	12,500	12,500	12,500	9,315	8,815	8,483	9,144	10,813	12,709	12,500	12,000	11,500			
	US\$/lb	4.23	4.31	4.45	5.04	5.82	6.05	5.67	5.67	5.67	5.67	4.23	4.00	3.85	4.15	4.90	5.76	5.67	5.44	5.22			
LME Nickel	US\$/MT	15,571	15,167	15,031	14,892	17,338	18,071	16,535	16,535	16,535	16,535	20,723	25,684	19,136	16,579	15,607	16,919	16,535	16,535	16,535			
	US\$/lb	7.06	6.88	6.82	6.75	7.86	8.20	7.50	7.50	7.50	7.50	9.40	11.65	8.68	7.52	7.08	7.67	7.50	7.50	7.50			

Note: LT refers to long-term price (from 2029 onward)

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 16: Assumptions and sensitivities for trading companies

FY26 Initial Company Assumption		8001	8002	8031	8053	8058	8015	2768
		ITOCHU	Marubeni	Mitsui & Co.	Sumitomo	Mitsubishi	Toyota Tsusho	Sojitz
JPY/US\$ (average)		150.0	150.0	150.0	150.0	150.0	150.0	150.0
JPY/US\$ (period end)		150.0	150.0	-	-	-	-	-
JPY/AUD (average)		-	100.0	100.0	-	-	-	-
US\$/AUD (average)		-	-	-	-	-	-	-
JPY/EUR (average)		-	-	-	-	-	175.0	-
Crude Oil(JCC)	US\$/bbl	-	-	84.0	-	-	-	-
Crude Oil(WTI)	US\$/bbl	-	60.0	-	-	-	-	-
Crude Oil(Brent)	US\$/bbl	80.0	-	78.0	-	78.0	-	70.0
US Natural Gas	US\$/mmBtu	-	-	3.50	-	3.90	-	-
Hard Coking Coal, FOB	US\$/t	-	-	-	223.0	-	-	210.0
Thermal Coal, FOB	US\$/t	-	-	-	118.0	-	-	120.0
Iron Ore Fe62%, CFR China	US\$/t	-	-	-	100.0	105.0*	-	-
LME Copper	US\$/MT	-	12,000	12,000	12,456	11,883	-	-
LME Nickel	US\$/lb	-	-	-	-	-	-	-

Iron ore assumption is CFR China basis

Sensitivity for net profits (JPY bil/year) (company-reported figures)		8001	8002	8031	8053	8058	8015	2768
FY2025		ITOCHU	Marubeni	Mitsui & Co.	Sumitomo	Mitsubishi	Toyota Tsusho	Sojitz
JPY/US\$ (average)	±1JPY/US\$	3.2	1.9	4.6	2.0	5.0	-	0.3
JPY/AUD (average)	±1JPY/AUD	-	0.6	1.8	-	-	-	-
Crude Oil	±1US\$/bbl	0.08	0.20	0.90	-	2.40	-	-
US Natural Gas	±0.1US\$/mmBtu	-	-	1.20	-	2.70	-	-
Hard Coking Coal	±1US\$/t	-	-	0.30	0.09	-	-	-
Thermal Coal	±1US\$/t	-	-	-	0.27	-	-	-
Iron Ore Fe62% fine	±1US\$/t	1.85	-	3.00	0.44	0.74	-	-
LME Copper	±100US\$/MT	-	1.30	0.50	0.46	2.60	-	-
LME Nickel	±1US\$/lb	-	-	-	-	-	-	-

Source: Company data, J.P. Morgan.

Figure 17: Assumptions and sensitivities for energy sector companies

Company assumptions		INPEX		Idemitsu	ENEOS	Cosmo
		FY2026	FY2026	FY2025	FY2025	FY2025
		oil \$83	oil \$70			
JPY/US\$ (average)		156.0	154.0	151.3	155.0	145.0
Crude Oil(Brent)	US\$/bbl	83.0	70.0	-	67.0	-
Crude Oil(Dubai)	US\$/bbl	-	-	81.3	85.0	65.0
Thermal Coal, FOB	US\$/t	-	-	126.1	86.0	-

Sensitivity (JPY bil/year)		INPEX		Idemitsu	ENEOS	Cosmo
		FY2026	FY2026	FY2025	FY2025	FY2025
		Net Profit	Profit before tax	Operating Profit	Recurring profit	
Other than inventory impact						
JPY/US\$	±1JPY/US\$	3.0	0.6	3.0	0.4	
Crude Oil (ex. Time-lag)	±1US\$/bbl	-	-1.5	-0.6	-0.8	
Crude Oil (Time-lag)	±1US\$/bbl	-	2.8	3.0	-	
Crude Oil (Overseas E&P)	±1US\$/bbl	5.5	-	4.2	0.8	
Inventory impact						
JPY/US\$	±1JPY/US\$	-	3.0	4.0	1.7	
Crude Oil	±1US\$/bbl	-	7.0	10.0	3.0	

Source: Company data, J.P. Morgan.

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